

Assessment of Factors Influencing Women's Access to Microfinance Services in Dar es Salaam, Tanzania: A Case Study of Kinondoni Municipality



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Abstract	Article info
Purpose: Despite the proliferation of microfinance institutions, many women remain financially excluded due to entrenched socio-cultural and institutional barriers. This study investigates the factors influencing women's access to microfinance services in Kinondoni Municipality, Dar es Salaam, Tanzania. Methods: A cross-sectional research design was employed, collecting data from a sample of 100 women. The data were analyzed using a probit regression model to assess the influence of key variables including marital status, income, loan procedures, and perceptions of interest rates on women's access to microfinance. Findings: The results show that married women are 28.4 percentage less likely to access microfinance, reflecting the influence of patriarchal norms and spousal consent requirements. Surprisingly, simplified loan procedures are associated with a 15.7 percentage point decrease in access, possibly due to hidden complexities or inconsistent implementation. Women who perceive interest rates as moderate or high are more likely to access microfinance, indicating a preference for institutional reliability over affordability. While income has a statistically significant effect, its practical impact on access is limited. Originality: This study uniquely studies urban women's access to microfinance in Kinondoni. The study reveals unexpected barriers which are linked to simplified loan procedures and spousal consent. The study challenges assumptions about affordability by highlighting trust-driven perceptions of interest rates Practical Implications: These findings highlight the urgent need for targeted policy reforms, including the removal of spousal consent requirements, standardization of loan procedures, introduction of collateral-free lending options, and expansion of community-based financial literacy programs. Such measures are critical to fostering inclusive financial systems and supporting national and international efforts toward gender equality and women's economic empowerment.	© The Author(s), 2025 

Keywords: *Microfinance access, gender disparities, patriarchal norms, financial inclusion, Tanzania*

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1.0 INTRODUCTION

Microfinance has emerged as a powerful instrument for addressing financial exclusion, particularly among women in low-income communities (Lesya and Mwakalobo, 2023; Dimoso and Andrew, 2021). It provides access to small loans, savings, insurance, and other essential financial services to individuals who are traditionally excluded from the formal banking sector (Feanyi et al., 2019; Kitole and Genda, 2024). Women face systemic barriers to credit access due to limited ownership of assets, lower literacy levels, and cultural norms that restrict their financial autonomy (Ambler et al., 2021). Microfinance addresses these gaps by offering financial solutions tailored to the needs of the poor and underserved (Kitole and Genda, 2024). Access to such services enables women to invest in small businesses, manage household consumption, and build resilience against economic shocks (Bismark, 2017). Importantly, microfinance is more than a financial intervention; it is also a social and developmental tool that contributes to women's economic empowerment (Abebe and Kegne, 2023). It helps shift women from a state of dependency to one of active economic participation and decision-making, thereby improving their status within the household and community (NMP, 2017). As such, microfinance plays a dual role: alleviating poverty and advancing gender equality.

At the global level, empowering women through improved access to financial services is a critical pillar of major development frameworks. The United Nations' Sustainable Development Goals (SDGs), particularly Goal 5, emphasize the need to achieve gender equality and empower all women and girls by 2030 (UNDP, 2015). One of the key strategies toward this goal is the expansion of women's access to credit and financial resources. Evidence from countries such as Brazil and India show that gender-focused financial programs have led to a rise in women-owned enterprises and increased participation in economic activities (Pinchot and Reilman, 2007). These initiatives not only improve individual outcomes but also contribute to broader economic development by leveraging the productive potential of women (Njau, 2023). However, access to credit alone is not sufficient. The effectiveness of microfinance in empowering women depends on the broader social and institutional context (Mia, 2022). Without addressing underlying inequalities in education, property rights, and decision-making power, financial access may not translate into meaningful empowerment (Lesya and Mwakalobo, 2023).

Across Africa, many women run microenterprises not by choice but out of necessity (Ambler et al., 2021). Despite their vital contribution to local economies, they face several challenges, particularly limited access to finance. The International Labour Organization (ILO) highlights financial constraints as a major barrier, especially in low-income countries like Malawi and Madagascar (Porter & Nagarajan, 2023). In Zimbabwe, a study by Quinn and Zein (2017) found that education levels affected women's ability to secure funding, with less educated women often unaware of available financing options.

In Tanzania, microfinance has expanded to reach underserved communities, particularly women. It provides an alternative to informal moneylenders who often charge high interest rates (Khandker, 2000). Access to microfinance has been linked to improved living standards and

reduced poverty among women (Mayoux, 2001; World Bank, 2014; Ambler et al., 2021). However, deep-rooted social norms, gender inequality, and limited control over productive resources continue to hinder women's economic participation (Paul, 2021; Kitole et al., 2025). Women are often less educated and concentrated in unskilled jobs, with limited access to land or capital (Rwebangira, 1996). In patriarchal systems—especially in areas like Dar es Salaam—land ownership and financial decision-making remain male-dominated (Lusasi & Mwaseba, 2020; Kamwela, 2020). This study explores the specific institutional, socioeconomic, and demographic factors influencing women's access to microfinance services in Kinondoni Municipality, Dar es Salaam.

2.0. LITERATURE REVIEW

2.1. Theoretical Review

The theory of women's economic empowerment draws from the broader empowerment framework introduced by Rappaport (1981), which emphasizes the importance of gaining access to resources, developing personal agency, and exerting control over decisions affecting one's life. Malhotra, Schuler, and Boender (2002) later expanded this theory to include multiple dimensions of empowerment—economic, social, familial, legal, and psychological—emphasizing that empowerment is both an individual and structural process. This holistic approach is particularly relevant for analyzing women's access to microfinance in Kinondoni Municipality, Dar es Salaam, as it allows for the examination of how institutional arrangements, economic status, and demographic characteristics jointly shape women's financial inclusion and autonomy.

Institutional factors play a critical role in shaping women's ability to access and benefit from microfinance services. Within the empowerment framework, institutional environments can either facilitate or hinder women's agency by creating enabling or restrictive structures. In this study, two institutional variables—loan procedures and perception of interest rates—capture key structural dimensions. Loan procedures reflect the accessibility and transparency of financial systems. Complex or opaque procedures can act as gatekeepers that reduce women's agency, while simplified processes foster participation and autonomy. Similarly, women's perceptions of interest rates serve as proxies for institutional trust and the perceived fairness of microfinance institutions. A woman's willingness to engage with certain institutions despite high interest rates may indicate a strategic exercise of agency, where informed decision-making outweighs cost concerns.

Socioeconomic factors, including education and income, are directly linked to the empowerment theory's emphasis on resource access and cognitive agency. Education enhances women's capacity to interpret financial information, understand procedures, and interact confidently with institutional actors. This aligns with the theory's assertion that empowerment requires not just material access but also the ability to make informed choices. Income level, meanwhile, represents both a resource and a potential outcome of empowerment. While higher income provides the material means to support financial independence, empowerment theory cautions that income alone is insufficient; it must be accompanied by the capacity and freedom to manage resources autonomously (Naz et al., 2024). These socioeconomic factors thus interact with institutional dynamics to shape a woman's trajectory toward economic empowerment.

Demographic factors such as marital status, work experience, age, and family size are crucial for understanding how personal and household dynamics influence empowerment. Marital status, for instance, often reflects intra-household power relations, particularly in patriarchal societies. Married women may face spousal control over financial decisions, limiting their autonomy—a

structural barrier recognized in the empowerment literature (Sierra et al., 2024). Work experience can enhance agency by building confidence and familiarity with economic activities, while larger family size increases financial obligations, influencing the perceived need for credit and financial planning (Hadi et al., 2015). Age, though not elaborated in the previous studies, may serve as a proxy for life stage, maturity, or social standing, all of which affect access to resources and agency. Together, these demographic variables help contextualize women's microfinance access within broader social norms and life circumstances, reinforcing the multidimensional nature of empowerment.

2.2. Empirical Review

Empirical evidence across various contexts has underscored the critical role of microfinance in fostering women's economic empowerment, poverty alleviation, and entrepreneurial success. In Ethiopia, Abebe and Kegne (2023) demonstrated that microfinance institutions significantly contribute to women's entrepreneurship development through credit, savings, and training services. Similarly, Bhuiya et al. (2016), using quasi-experimental survey methods in Bangladesh, found that access to microfinance led to improved household income and consumption, confirming its role in poverty reduction. These results are echoed by Zoynul and Fahmida (2013), who showed that microcredit enabled poor women in Bangladesh to improve their living conditions and access better housing, particularly through BRAC programs. However, despite such positive impacts, several studies also emphasize that microfinance outcomes are not uniformly positive and often depend on broader structural factors.

In Tanzania, studies continue to highlight the complex dynamics influencing women's access to financial services. Kamwela (2020) and Kipesha and Zhang (2018) found that gender gaps in microfinance access remain persistent due to sociocultural barriers, limited financial literacy, and discriminatory lending practices. Their findings suggest that while microfinance institutions (MFIs) are expanding in urban centers like Dar es Salaam, women still face unequal access due to factors such as spousal consent requirements, patriarchal household norms, and institutional biases. Similarly, Njau (2023), in a study conducted in Kilimanjaro Region, revealed that socio-demographic factors—particularly marital status and educational attainment—play a significant role in shaping access to microfinance services. However, the study also concluded that microfinance alone has not been sufficient to dismantle the deeply rooted patriarchal system. These findings are consistent with Lusasi and Mwaseba (2020), who explored gender inequality and symbolic violence in women's access to land, arguing that access to resources is often constrained by social norms that prioritize male authority.

Regional and international studies have also highlighted how institutional inefficiencies can undermine the intended impacts of microfinance. For instance, Mishi and Kapingula (2012), examining the microfinance sector in Zimbabwe, identified high interest rates, lack of collateral, and short repayment periods as major obstacles to financial access for women entrepreneurs. These constraints reflect a broader pattern found in microfinance institutions across Sub-Saharan Africa, where informal screening processes and profit-driven models often exclude the poorest or most vulnerable women (Mia, 2022; Naz et al., 2024). Moreover, Daniel (2020) cautioned against the polarizing effects of microcredit, noting that in Zambia's Copperbelt region, unequal access to credit exacerbated income disparities rather than reducing them. These findings are supported by Hansen et al. (2021), who emphasized the ethical dilemmas faced by commercialized MFIs, particularly when empowerment goals clash with profitability.

In Nigeria, empirical research by Usman (2023) confirmed that education level, age, and household size significantly influenced women's ability to access microfinance loans, while

challenges such as inadequate loan amounts, high interest rates, and short loan tenures were key constraints. Feanyi et al. (2019) added a psychological perspective to the issue, noting that poverty among women in Southwest Nigeria was deeply intertwined with systemic disempowerment, and that access to financial services—while important—was insufficient without broader social reforms. Similarly, Mayoux (2001) warned that microfinance could inadvertently reinforce existing gender roles if not accompanied by targeted empowerment strategies. This perspective aligns with the work of Rappaport (1981), who argued for a social policy approach rooted in empowerment rather than prevention—one that emphasizes capacity-building, voice, and control over economic decisions.

Recent Tanzanian literature also confirms the critical need for more inclusive and context-sensitive approaches to microfinance. Mussa and Mwakajinga (2019) found that despite Dar es Salaam's rapid urbanization, financial access remains unevenly distributed, especially among informal women entrepreneurs. Lwesya and Mwakalobo (2023) further pointed out that microfinance institutions in Tanzania often lack sufficient outreach strategies to engage female-led SMEs effectively. Meanwhile, Kitole and Genda (2024) explored the resilience of rural women entrepreneurs, emphasizing that despite limited resources and institutional support, women continue to innovate and drive local economies. This resilience, however, is constantly tested by structural inequalities and weak policy implementation. To address these gaps, researchers such as Utouh and Kitole (2024) and Kitole (2025) advocate for comprehensive policy reforms, including gender-sensitive lending policies, community-based financial education, and stronger regulatory oversight. These reforms are critical to advancing Sustainable Development Goal 5 on gender equality (UNDP, 2015) and achieving Tanzania's Vision 2025 objectives (URT, 2021).

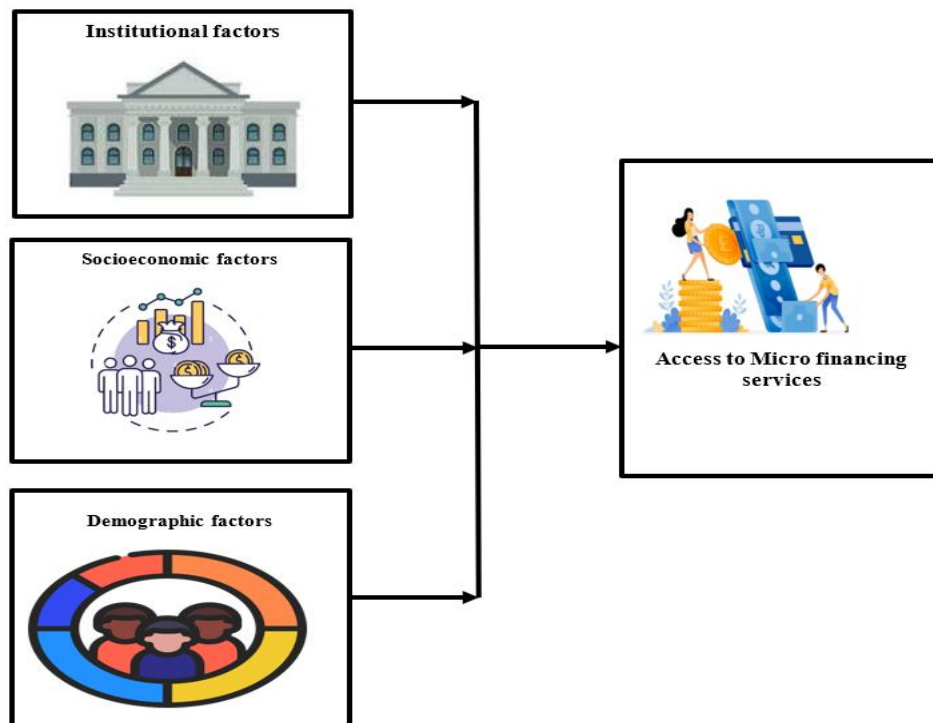


Figure 1 Conceptual Framework

Source: Authors' construction (2025)

3.0. METHODS

This study adopted a cross-sectional research design to examine the factors influencing women's access to microfinance services in Kinondoni Municipality, Dar es Salaam. The design enabled the collection of data at a single point in time, making it suitable for identifying existing relationships between key variables such as age, education, marital status, income level, and access to loans. A stratified sampling technique was employed to ensure the representation of women from diverse socio-economic backgrounds, allowing the study to capture the complex ways in which institutional, socio-economic, and demographic barriers affect financial access. The use of stratification also strengthened the reliability of findings by ensuring inclusivity across different subpopulations. This approach was guided by prior research, which emphasizes the impact of structural issues—such as lack of collateral, high interest rates, and limited financial literacy—on women's access to credit (Kamwela, 2020; Kipesha and Zhang, 2018). The methodology was further aligned with the study's theoretical framework, which highlights the importance of resource access, agency, and institutional conditions in shaping women's empowerment (Dimoso and Andrew, 2021).

Kinondoni Municipality was selected as the study site due to its status as a rapidly urbanizing and economically vibrant district within Dar es Salaam. Despite the presence of multiple microfinance institutions (MFIs), women in Kinondoni continue to face significant obstacles in accessing formal financial services. These include restrictive lending practices, gender-based norms, and institutional limitations that disproportionately affect women entrepreneurs (Mussa and Mwakajinga, 2019). The municipality represents a microcosm of broader urban financial challenges, where high demand for credit coexists with persistent gender inequalities. Research by the World Bank (2020) and other scholars underline that financial exclusion among women in urban Tanzania stems not only from economic disadvantage but also from socio-cultural norms and regulatory barriers, such as spousal consent requirements and asset ownership constraints. By focusing on Kinondoni, this study provides valuable insights into the urban dynamics of financial inclusion and contributes to evidence-based strategies aimed at promoting gender-responsive microfinance policies and inclusive economic growth.

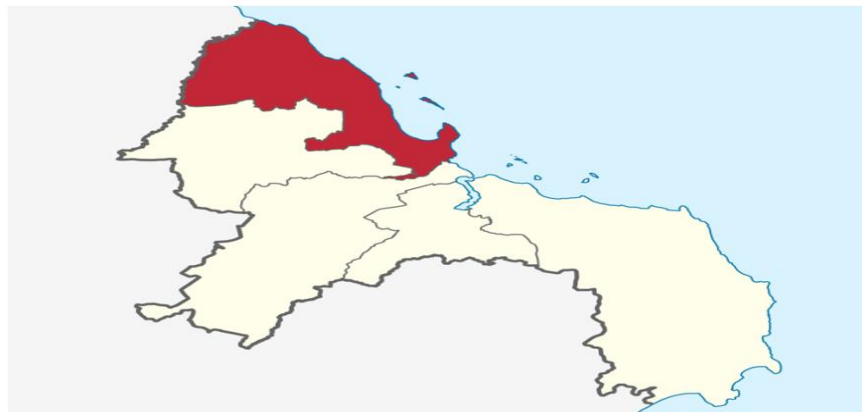


Figure 2 Map of Dar es salaam showing Kinondoni municipal; Source: Kinondoni Municipal Council

This study employed a probit model to estimate the women's access to microfinance. The choice of the probit model was driven by its strength in modeling binary outcomes (Dimoso and Andrew, 2021; Mpfubhusa and Mushi 2024; Kitole and Genda, 2024), where the dependent variable access to microfinance was treated as a latent variable categorized into two outcomes, Access and not access of microfinance with the project. The independent variables regressed against the dependent variable include age, sex, marital status, education level, income level, family size, experience. These factors were chosen to assess their influence on the overall access to microfinance.

The specification of the probit model is as follows:

$$y_i^* = \beta_j' + \mu_i \text{ where } \mu_i \sim (0, \sigma^2)$$

y_i^* is the dependent variable, which assumes unobservable status, β represents the independent variables, and j' represents the coefficient of the independent variables and μ_i represents error term with standard normal distribution. Since, y^* is unobservable, what we observe is y , which takes the two values as described under.

When $y_i^* > 0$, $y_i = 1$ if a woman has access

When $y_i^* < 0$, $y_i = 0$ if a woman has no access.

Because the probability that the women has access to microfinance is greater than zero ($y_i^* > 0$) $\text{Prob}(y=1) = \text{prob}(y_i^* > 0)$

Or less than or equal to zero

$$(y_i^* < 0) \text{ Prob}(y=0) = \text{prob}(y_i^* < 0)$$

The likelihood of woman has access is here in presented by unobservable factors through dependent variables as follows.

Access to Micro financing services = 1 if has access to microfinance $y_i^* > 0$ 0 if has no access to microfinance $y_i^* < 0$ If $y_i^* = 0$, then $y=1$ implying that women Access to Micro financing services

Therefore, the probability that Access to Micro financing services assumes that the probability density function of μ_i assumed being $f(\mu_i)$ which results to creation of a new parameter.

$$\text{prob}(y_i = 1|x) = \int_{-\alpha}^{x\beta} f(\mu_i) du = f(x\beta)$$

$$\text{probprob}(y_i = 1|x) = \frac{1}{2\pi^{1/2}} \exp\left(-\frac{\beta^2 x^2}{2}\right)$$

Now based on the variable used on this study the probit model is therefore presented as,

$$y_i = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \mu_1$$

Since probit model is significantly addressed well under the Marginal effect which, mainly helps in the appropriate interpretation of the factors influencing women access to microfinance in kinondoni municipality. Therefore, the marginal effect of the same is obtained through the following equation

$$\frac{dy}{dx} = \beta_1 \theta (\beta_1 + \beta_n)$$

Table 1 Variable measurements

Variable	Description of variable	Type of Variable	Measurement Description
Access to Microfinance	A household access to microfinance services for the past 12 months	Binary variable	1 if respondent had access to microfinance, and 0, Otherwise.
Age	Respondent age in years	Continuous variable	Respondent's age in years
Marital Status	The respondent marital status at the time of interview	Binary variable	1 if respondent is married, and 0 if single
Education Level	The highest level of education of the respondent	Categorical variable	1 if respondent has primary education, 2 if has secondary, 3 if has tertiary
Income Level (TZS/month)	The monthly income of the respondent	Continuous variable	Total household monthly income in Tanzanian Shillings
Family Size	The total number of family members in the household	Continuous variables	Number of family members in the household
Experience (Years)	Total number of working experiences of the respondent	Continuous variable	Total number of years of working experience
Loan Procedures	The level of microfinance procedures in accessing loans	Categorical variable	1 if the respondent perceives the procedures as simplified, 2 if moderate, and 3 if difficult
Interest Rate Perception	The level of interest rate issued by microfinance	Ordinal variable	1 if respondent perceive interested rate as low, 2 if moderate, and 3 if high

Source: Author design (2025)

4.0. RESULTS AND DISCUSSION

The results of the study are categorized into descriptive and inferential results as shown and narrated below;

4.1 Descriptive Results

Table 2 presents a descriptive analysis of categorical variables among 100 respondents. In terms of education level, half (50%) attained secondary education, while 25% each completed primary and tertiary education indicating that most borrowers possess a mid-level educational background. Regarding loan procedures, 49% of respondents perceived the procedures as moderate, 35% found them difficult, and 16% considered them simplified suggesting that

procedural complexity may be a barrier for a sizable minority. On perceptions of interest rates, half (50%) viewed them as moderate, 28% as low, and 22% perceived them as high. These results suggest that the majority of respondents are moderately educated and perceive both loan procedures and interest rates as moderate, indicating potential accessibility but also areas for further simplification and improvement in financial services.

Table 2 Descriptive analysis for categorical variable

Variables		Frequency	Percent
Education Level	Primary education	25	25%
	Secondary education	50	50%
	Tertiary education	25	25%
	Total	100	100%
Loan Procedures	Difficult procedures	35	35%
	Moderate procedures	49	49%
	Simplified procedures	16	16%
	Total	100	100%
Interest Rate perception	Low interest rate	28	28%
	Moderate interest rate	50	50%
	High interest rate	22	22%
	Total	100	100%

Source: Field data (2025)

Table 3 shows descriptive analysis of continuous variables. The average age of participants is 39.63 years, with a variation of about 9 years, and an age range of 25 to 58 years, indicating a predominantly middle-aged group. The average monthly income is 250,600 Tanzanian Shillings, with a wide variation of around 115,179 Shillings, ranging from 100,000 to 410,000, showing notable income differences likely influenced by varying occupations or economic opportunities. Family size is relatively stable, averaging 4.62 members with slight variation, typically ranging between 3 and 7 members, which align with common household sizes in the region. Participants have an average of 4.58 years of experience, with a variation of about 2.6 years and a range from 1 to 9 years, indicating a mix of both new and moderately experienced individuals. These results highlight diversity in age, income and experience which should be carefully considered in the interpretation of study outcomes.

Table 3 descriptive analysis of continuous variable

Variable	Observations	Mean	Std	Min	Max
Age	100	39.63	8.966441	25	58
Income level TZS Month	100	250600	115179.4	100000	410000
Family size	100	4.62	1.324059	3	7
Experience in years	100	4.58	2.625362	1	9

Source: Field data (2025)

Figure 3 shows a clear disparity in women's access to microfinance, with 58 percent of respondents lacking access compared to 42 percent who reported having access, based on 2025 field data. This indicates that a majority of women still face barriers such as strict loan requirements, limited financial knowledge, and cultural constraints that restrict their involvement in formal financial systems. The high percentage without access reflects ongoing gender inequalities that can limit women's ability to engage in income-generating activities and support their households. However, the 42 percent with access also signals some progress toward financial inclusion.

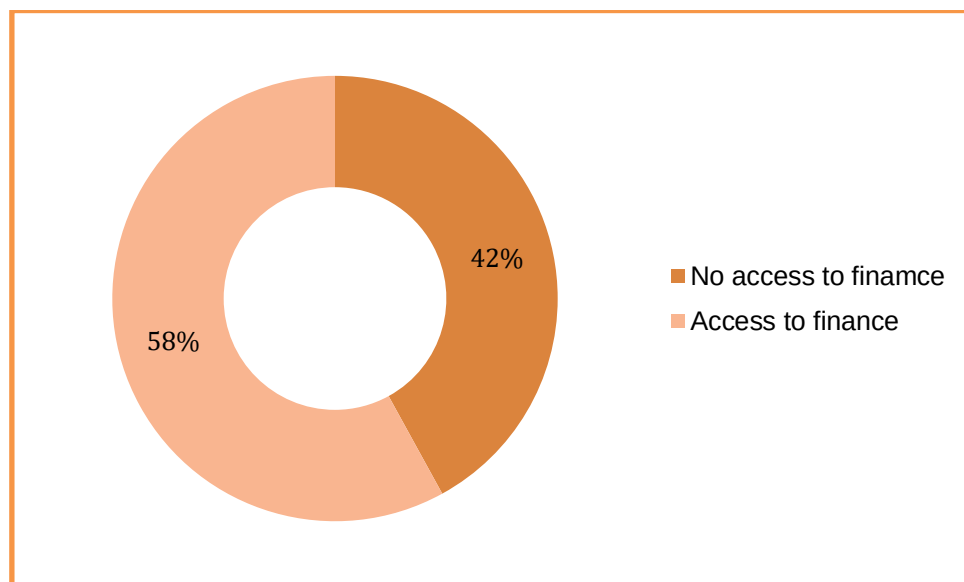


Figure 3 women access to microfinance

Source: Research field (2025)

Figure 4 shows comparison of income levels (in Tanzanian Shillings) between individuals with and without access to microfinance. For those without access to finance, the median income is approximately TZS 140,000, with the interquartile range (IQR) stretching from about TZS 100,000 to TZS 180,000. In contrast, individuals with access to finance have a higher median income of roughly TZS 350,000, and their IQR ranges from about TZS 300,000 to TZS 400,000.

Furthermore, there are several outliers below TZS 200,000 in the access group and a few outliers above TZS 300,000 in the no-access group. Generally, the figure clearly illustrates that access to microfinance is associated with significantly higher and more varied income levels, suggesting its positive impact on financial wellbeing.

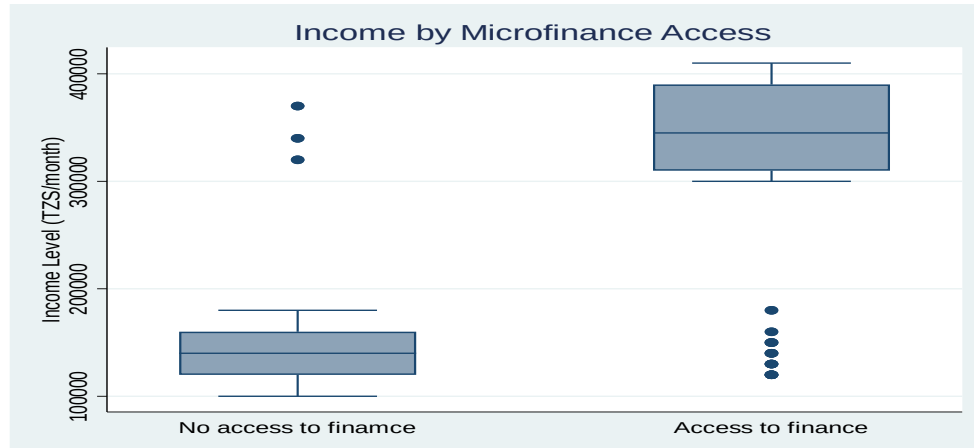


Figure 4 Comparisons of Income Levels by Access to Microfinance

Source: Author computations (2025)

4.2 Determinants of women access to microfinance in Kinondoni municipal

The analysis shows that married women are 28.4 percentage points less likely to access financial services compared to their unmarried counterparts, and this result is statistically significant. This negative association may be due to social factors that limit married women's financial autonomy, including household decision-making norms and loan requirements such as spousal consent. These constraints may discourage or prevent married women from engaging with financial institutions, contributing to their exclusion from formal financial systems. An increase in monthly income has a positive but very small effect on the likelihood of accessing finance, with a one TZS increase raising the probability by only 0.00000238 percentage points. Although statistically significant, this minimal change implies that income alone has limited practical influence on financial access. This suggests that non-income-related factors play a stronger role in determining whether women can engage with financial services.

Table 4 Probit model regression for women access to finance in Kinondoni municipal

variables	Probit	marginal effect
Age	0.0124626 (0.0432567)	0.0018608 (0.0064473)
Marital status		
Married	-1.892016	-0.2835816

	(0.7820999)**	(0.0911083)**
Education level		
secondary education	0.5531205 (0.6248024)	0.0869272 (0.1002889)
Tertiary education	0.7386979 (0.7390397)	0.1169498 (0.1196814)
Income	0.0000159 (5.68E-06)***	0.00000238 (0.000000686)***
Family size	0.6026559 (0.4107459)	0.0899813 (0.0581453)
Experience (years)	0.2810643 (0.2173217)	0.0419651 (0.031312)
Loan procedures		
moderate procedures	0.6453754 (0.4795554)	0.092576 (0.0625799)
simplified procedures	-1.609174 (0.9456679)*	-0.1573819 (0.0667232)**
Interest rate perception		
moderate interest rate	1.285589 (0.6110609)**	0.1635913 (0.0630733)***
high interest rate	1.819224 (0.7768617)**	0.2460244 (0.0854867)***

Source: Field research (2025)

Contrary to expectations, simplified loan procedures are associated with a 15.7 percentage point reduction in the likelihood of accessing financial services. This unexpected finding may reflect underlying issues such as hidden conditions, confusing processes labeled as simple or exclusionary practices during implementation. It is also possible that such procedures are not well communicated or understood by the target population, thereby limiting their effectiveness.

Women who perceive interest rates as moderate or high are more likely to access finance, by 16.4 and 24.6 percentage points respectively. This may indicate a preference for formal lending institutions, which are often associated with higher rates but also greater reliability and legitimacy. It could also suggest that women with urgent financial needs are willing to accept higher costs in exchange for immediate access to funds. These patterns reflect the complexity of financial decision making among women and highlight the importance of both affordability and trust in financial services.

5.0. DISCUSSION

The findings of this study both support and challenge aspects of the women's economic empowerment theory, particularly its emphasis on access to resources, agency, and structural transformation. The significant negative effect of marital status on women's access to microfinance—where married women were 28.4% less likely to access services compared to their

unmarried counterparts—strongly supports the theoretical prediction that structural and relational barriers limit women's autonomy. This is consistent with the empowerment framework's critique of patriarchal household dynamics that restrict women's agency in decision-making (Malhotra et al., 2002). Empirically, this aligns with studies from Hai District (Njau, 2023) and Nigeria (Usman, 2023), affirming that institutional requirements like spousal consent reinforce gendered power imbalances. Thus, the findings confirm that marriage can serve as a constraint rather than an enabler of women's financial empowerment in contexts where male dominance in financial affairs is normalized.

Income showed a statistically significant yet practically modest positive association with microfinance access—a 100,000 TZS increase raised the likelihood of access by only 0.24 percentage points. This outcome is theoretically consistent with the notion that while income is a necessary resource, it is not a sufficient condition for empowerment when structural barriers persist. The result echoes findings from Zimbabwe (Mishi and Kapingula, 2012), where income increases did not yield substantial gains in financial access due to collateral demands and discriminatory lending practices. This nuanced result affirms the empowerment theory's view that economic empowerment depends not only on material wealth but also on the structural environment in which financial decisions are made. Without institutional reforms, increased income alone cannot ensure women's equitable participation in financial systems.

Interestingly, the finding that simplified loan procedures reduced access to microfinance by 15.7 percentage points contradicts theoretical expectations. The empowerment framework suggests that simplified, transparent processes should enhance women's agency and promote inclusion. However, this contradiction aligns with critiques from earlier research in Zimbabwe (Mishi and Kapingula, 2012), where "simplified" procedures often concealed hidden costs, rigid eligibility criteria, or inconsistent application. This mismatch between policy intent and lived experience reveals a gap in the practical realization of empowerment. The result highlights that empowerment requires more than procedural reform; it demands effective implementation and institutional accountability to ensure that women genuinely benefit from intended reforms.

Women's willingness to engage with microfinance despite moderate or high perceived interest rates also aligns with theoretical expectations, particularly the empowerment framework's emphasis on informed choice and agency. Contrary to traditional assumptions that higher costs deter participation, this study found that women who perceived rates as moderate or high were 16.4 and 24.6 percentage points more likely, respectively, to access microfinance. This pattern reflects a strategic choice, where women prioritize trust and institutional reliability over affordability, a trend supported by similar findings in Bangladesh (Zoyunul and Fahmida, 2013). It suggests that agency is exercised not only in pursuit of the lowest cost but also in favor of dependable service delivery, especially in environments where informal lenders dominate but lack regulation and security.

Finally, the lack of a statistically significant relationship between education level and microfinance access diverges from the empowerment theory's expectations, which posit education as a vital enabler of agency and decision-making. Unlike findings from Hai District and Bauchi, Nigeria, where education influenced access (Njau, 2023; Usman, 2023), this study found no meaningful effect in Kinondoni. This divergence may be attributed to the relatively homogenous educational attainment among respondents—over half had completed secondary education—or to the

overpowering influence of marital and institutional factors. In urban settings like Kinondoni, where institutional constraints and cultural norms remain entrenched, education alone may not suffice to overcome access barriers. The broader context of structural inequality, including land ownership laws and male-dominated resource control (Lusasi and Mwaseba, 2020; Hansen et al., 2021), remains a major impediment. Nonetheless, the observed association between microfinance access and higher income levels (as shown in Figure 3) affirms the potential of financial inclusion to improve women's economic outcomes—if paired with deliberate structural and institutional change.

Overall, the findings both align with and diverge from the women's economic empowerment theory, offering nuanced insights into how structural, institutional, and agency-related factors influence financial access. Consistent with the theory, the study affirms that marital status, institutional trust, and income-based disparities are significant barriers to women's access to microfinance, reinforcing the idea that unequal power relations and limited control over resources restrict women's autonomy. The positive association between perceived interest rates and access further supports the theory's emphasis on informed agency, where women make rational choices based on institutional reliability rather than cost alone. However, the non-significant effect of education and the unexpected negative influence of simplified procedures challenge the assumption that knowledge and formal process improvements automatically lead to empowerment. These divergences suggest that in contexts like Kinondoni, structural norms and implementation gaps can dilute or even reverse the intended outcomes of empowerment policies. Therefore, while the theory provides a valuable framework, its practical application must account for local sociocultural dynamics and institutional weaknesses that mediate how empowerment is experienced on the ground.

6.0. CONCLUSION

This study reveals the multifaceted and deeply entrenched barriers that limit women's access to microfinance services in Kinondoni Municipality, Tanzania. The analysis demonstrates how socio-cultural norms, institutional limitations, and economic vulnerabilities converge to create persistent exclusion for women, particularly married women, who often face additional hurdles due to spousal consent requirements. The paradox of simplified loan procedures that are still inaccessible in practice, and the prioritization of institutional trust over affordability, further illustrates the disconnect between policy intent and women's lived realities. These dynamics are embedded in broader patriarchal structures and regulatory gaps, which restrict women's agency and undermine the transformative potential of microfinance as a tool for economic empowerment.

To align with the goals of Sustainable Development Goal 5 and Tanzania's National Microfinance Policy, there is a critical need for multidimensional strategies that combine legal reform, institutional transformation, and community engagement. Gender-sensitive lending practices, transparent and truly accessible procedures, and grassroots advocacy must form the backbone of a more inclusive financial system. Moreover, continuous monitoring, robust enforcement of gender equity laws, and expanded qualitative research into women's financial experiences are essential to ensure that interventions are grounded in context and responsive to actual needs. If these systemic reforms are pursued, microfinance can evolve from a nominal tool into a genuine catalyst for women's empowerment and inclusive economic growth in Kinondoni and similar contexts across Tanzania.

6.1 Recommendations

The study offers the following recommendations which have been divided into three groups:

Policy Recommendations

To address the legal and regulatory barriers restricting women's access to microfinance, policy reforms must prioritize the elimination of spousal consent requirements, which continue to undermine women's financial autonomy. Married women in particular face significant challenges in accessing credit independently due to these constraints, reinforcing patriarchal control over household financial decisions. The government should revise legal frameworks to ensure that women are recognized as independent financial agents, in line with Tanzania's commitments to gender equality and the objectives of SDG 5. In addition, legal protections must be strengthened to guarantee women's equal rights to own land, register businesses, and use property as collateral—key criteria for loan eligibility. These protections should be actively enforced through public legal education and streamlined procedures that reduce bureaucratic obstacles. Lastly, it is essential to mainstream gender-sensitive policies within national financial inclusion strategies by setting measurable targets for female participation, investing in gender-disaggregated financial data, and ensuring that all economic development policies consider the unique barriers women face.

Institutional Recommendations

At the institutional level, microfinance providers must adopt lending models that expand access for women, particularly those without traditional forms of collateral. One effective approach is to promote group lending schemes that rely on social guarantees rather than physical assets, enabling women—especially in low-income and informal sectors—to access credit without needing land or property. Financial institutions should also enhance transparency in their operations by clearly communicating loan conditions such as interest rates, repayment terms, and documentation requirements in simplified formats and local languages. This is crucial to ensure that simplified procedures are not only accessible in name but in practice, particularly for women with limited education. In addition, financial institutions must invest in training their loan officers on gender sensitivity, equipping them with the skills to understand and respond to women's specific needs and challenges. Gender-sensitive service delivery can help build trust, reduce discrimination, and encourage more women to engage confidently with microfinance systems.

Community and Advocacy-Based Solutions

To complement legal and institutional reforms, community-based initiatives must play a central role in advancing women's financial inclusion. Expanding financial literacy through grassroots methods such as mobile learning, radio broadcasts, and peer-led workshops can help women make informed decisions about budgeting, managing loans, and identifying fair lending practices. Programs should be delivered in local languages and adapted to various literacy levels to ensure broad participation. Local women's networks, religious leaders, and community organizations should be engaged as trusted partners to promote awareness about microfinance opportunities and address misinformation. These networks are instrumental in breaking social stigmas and building confidence among women hesitant to seek formal financial services. Furthermore, peer support groups or financial self-help groups can provide women with platforms to share

experiences, offer practical and emotional support, and build collective advocacy for inclusive financial reforms at the local level. Together, these grassroots strategies can help shift social norms and enable a more equitable financial environment for women in Kinondoni and beyond.

Statements and declarations

Ethical declaration: The study was performed in line with the principles of the Declaration of Helsinki. Ethical approval for this study was granted by the President's Office of Regional Administration and Local Government (PO-RALG). The authors declare that all methods were carried out in accordance with relevant guidelines and regulations.

Consent Statement: Authors declare that written consent was obtained from all participants.

Author Contributions: S.J. and A.S.M. conceptualized the study, B.M. worked on the theoretical framework and methodology. S.J., B.M., and A.S.M collected data, S.J. made data analysis and interpretations, and discuss the findings. All authors approved the manuscript.

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